WORLD SYSTEM THEORY

The roots of the World System Theory can be traced to the writings of Lenin. In his monumental work, *Imperialism—The Highest Stage of Capitalism,* Lenin contended that imperialism created a two-tier structure within the capitalist world economy. He identified the dominant structure as the 'core' and the less-developed structure as the 'periphery'. It is the location of the states within this capitalist world economy, which determines the patterns of interaction and relation of domination and dependence between them. Galtung (1971) and Wallerstein (1974) further developed this theory and provided powerful insights into the working of the world capitalist economy. Among other proponents of this theory, the noteworthy were Andre Gunder Frank (*Capitalism and Underdevelopment in Latin America,* 1967), Raúl Prebisch** (1963), the first Executive Director of the United Nations Economic Commission for Latin America, John Gallagher and Ronald Robinson†† (1953), and Gunnar Myrdal‡‡ (1957), the author of *Asian Drama*.

The main line of argument of the World System theorists is that the dependency situation of the developing countries is the direct result of the economic exploitation by the advanced countries. They define the situation of dependency, as a "situation in which a certain number of countries have their economy conditioned by the development and expansion of another…, placing the dependent countries in a backward position exploited by the dominant countries".

Dependency theorists not only reflect upon the external factors like foreign states, MNCs, international banks, multilateral lending institutions, foreign control of technology and an international bourgeoisie as causes of dependency but also highlight the internal constraints on development such as patterns of land tenure, social structures, class alliances, and the role of the state. These internal factors strengthen and reinforce the instruments of foreign domination. As a result of the interplay between these internal and external factors, the nature of development or underdevelopment of society will vary.